

Taking Portfolio Spending out of the Vacuum

Before describing our RIO-Map framework, it is necessary to properly address one further aspect about the research on sustainable spending rates. The Trinity study established the idea of focusing on success rates and failure rates, building into our psyche the idea that one's retirement is a failure if the investment portfolio depletes. This has put too much emphasis on the portfolio and on spending conservatively to keep failure rates low. This is not the whole story for retirement income. Certain circumstances, which we will explore, may allow retirees to accept a higher probability of "failure" and, thus, spend more aggressively from their investment portfolio. Depleting the investment portfolio is not always catastrophic.

We must evaluate the trade-off between reducing spending today to better protect future spending potential and seeking to enjoy the highest possible living standard today even if that creates greater risks for having to make cutbacks later in retirement. Withdrawal rate studies have typically focused on the probability of depleting the portfolio while still alive, without considering what is lost in terms of life satisfaction by using a lower withdrawal rate and spending less. The fact is that when using low withdrawal rates, retirees will typically leave behind a large pot of wealth (unless their retirement returns sequence matches the worst-case scenario). This is not usually included in the analysis, other than to recommend using a higher stock allocation to increase the average legacy.

When taking portfolio spending out of the vacuum, there are four interrelated factors that we must consider:

- Longevity risk aversion: how fearful are you about outliving your investment portfolio in retirement? This is an emotional characteristic unrelated to whether you may outlive your portfolio in an objective sense.
- Reliable income sources: what proportion of your retirement spending is covered through reliable income sources from outside the investment portfolio?